



Kenya Power

THE KENYA POWER AND LIGHTING COMPANY PLC UNAUDITED TRADING RESULTS FOR SIX MONTHS PERIOD ENDED 31 DECEMBER 2020

The Board of Directors of the Kenya Power and Lighting Company Plc announce the following unaudited accounts for the half-year period ended 31 December 2020:

CONDENSED STATEMENT OF COMPREHENSIVE INCOME

	31.12.2020 Kshs. Million	31.12.2019 Kshs. Million
Revenue from contracts with customers	69,014	69,607
Cost of sales	(45,578)	(45,516)
Gross Margin	23,436	24,091
Other income	3,568	3,801
Transmission & distribution costs	(18,675)	(22,977)
Operating Profit	8,330	4,914
Interest income	60	59
Finance costs	(8,057)	(3,835)
(Loss)/Profit Before Tax	332	1,139
Income tax credit/(expense)	(194)	(447)
(Loss)/Profit for the period	138	692
Basic and diluted earnings per Share	Kshs.0.07	Kshs.0.35

CONDENSED STATEMENT OF FINANCIAL POSITION

	31.12.2020	31.12.2019
	Kshs Million	Kshs Million
Assets		
Property and equipment	272,146	275,707
Other non-current assets	4,013	4,849
Current assets	43,921	45,227
	320,080	325,783
Equity and Liabilities		
Shareholders' Equity	55,229	56,923
Non-current liabilities	152,659	154,722
Current liabilities	112,192	114,138
	320,080	325,783

CONDENSED STATEMENT OF CASH FLOWS

	31.12.2020	31.12.2019
	Kshs. Million	Kshs. Million
Cash generated from operating activities	7,964	8,806
Net Cash used in investing activities	(4,151)	(7,171)
Net Cash generated from financing activities	(5,998)	(2,213)
Decrease in cash and cash equivalents	(2,185)	(578)
Cash and cash equivalents at beginning of the year	3,908	(5,426)
Cash and cash equivalents at 31st December	1,723	(6,004)

Key Highlights for the Half -Year Ended 31 December 2020

Electricity sales grew marginally by 0.7 percent from 4,167 GWh recorded in a similar period in 2019 to 4,196 GWh in the period under review. The curtailed growth is attributed to the slow recovery of electricity demand following a sharp decline in energy consumption at the onset of the COVID-19 pandemic.

Non-fuel power purchase costs increased from Kshs. 37,190 million in the previous period to Kshs. 38,123 million due to additional costs resulting from the depreciation of the shilling against major foreign currencies. Fuel cost decreased from Kshs. 7,153 million to Kshs. 4,618 million which is attributable to less thermal generation.

Transmission and distribution costs decreased to KShs. 18,675 million from KShs. 22,977 million the previous period due to ongoing cost management initiatives.

Finance costs increased to Kshs. 8,057 million from Kshs. 3,835 million the previous period due to the depreciation of the Kenya shilling against major trading currencies leading to an unrealised foreign exchange loss.

Profit before Tax

The Company recorded a profit before tax of Kshs. 332 million for the period compared to Kshs. 1,139 million realised the previous period.

Enhancing Our Performance

As the Company approaches a century of service to customers, business focus remains on the successful implementation of the Company's turn-around strategy which is anchored on five focus areas: customer-centric service, growing sales, enhancing revenue collection, managing costs, and enhancing system efficiencies.

The Company's recovery strategy is being fortified by the entrenchment of a high performance and customer centered culture in order to register sustainable growth.

We are also building a business that is focused on continuous improvement by leveraging technology and deploying innovative solutions to improve the customer's experience.

In order to enhance our responsiveness to emerging and existing customer requirements, and improve operational efficiency, we have enabled our offices in the Counties to function as fully fledged business units. These initiatives are underpinned by a winning corporate culture for exemplary service delivery.

BY ORDER OF THE BOARD

IMELDA BORE
COMPANY SECRETARY
February 25, 2021